

plants, and the chief engineer was largely giving me the brush-off. He was polite but he didn't think that I, a suit from the city, would understand anything about manufacturing processes. Then I asked him, "Do you get much porosity in your castings?" "Porosity," a word I remembered from a metallurgy course, opened the engineer up like magic. He said to himself, "My God, a Wall Street dude who understands something about the foundry business." After that I couldn't stop him from explaining every last detail about his factory.

Every mutual fund company of any size has a team of analysts who are familiar with all sorts of businesses and their jargons, not to mention foreign languages and cultures. No one person can know everything it would be ideal to know as an investor, for there is no field of human knowledge that isn't valuable somewhere in the investment process. Obviously, you have to know finance and economics, but you also have to know technology and marketing and accounting and statistics and psychology and engineering. Even history and political science are valuable. It would be hard to find some field of knowledge you couldn't apply. So a mutual fund company's team of portfolio managers and analysts, each of whom contributes an area of expertise or two, is extremely valuable in putting together a portfolio.

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When you invest on your own, you deal with one broker, maybe a couple. A mutual fund manager can tap dozens. Acorn works with Merrill Lynch and the other majors, of course, but many of our best stock ideas have come from smaller, regional firms that